ANNUAL OPERATING BUDGET

Lantern Onyx Tower | Sacramento, CA

Property	Lantern Onyx Tower
Fiscal Year	2024
Submitted By	Harbor Point Management Group
Submitted	January 25, 2025

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$38,159	$39,541	$42,130	$3,971	10.4%	$2,340.56
5010 Loss to Lease	$25,250	$24,049	$24,490	-$760	-3.0%	$1,360.53
5020 Vacancy Loss	$192,883	$198,270	$204,007	$11,124	5.8%	$11,333.74
5030 Concessions	$79,640	$78,733	$82,351	$2,711	3.4%	$4,575.08
5040 Bad Debt	$10,786	$10,305	$10,826	$40	0.4%	$601.43
5050 Late Fees	$126,153	$124,283	$127,613	$1,459	1.2%	$7,089.60
5060 Utility Reimbursements	$195,343	$193,963	$203,525	$8,182	4.2%	$11,306.93
5070 Parking Income	$107,563	$103,011	$108,828	$1,265	1.2%	$6,046.01
5080 Application Fees	$77,165	$74,066	$75,042	-$2,123	-2.8%	$4,168.99
5090 Pet Rent	$193,469	$178,210	$181,468	-$12,002	-6.2%	$10,081.54
5100 Laundry Income	$178,959	$182,015	$187,814	$8,855	4.9%	$10,434.10
5110 Cable/Internet Revenue	$61,593	$63,452	$66,978	$5,385	8.7%	$3,721.02
5120 CAM Reimbursements	$114,581	$105,834	$108,172	-$6,408	-5.6%	$6,009.58
5130 Tax Reimbursements	$12,948	$12,495	$13,229	$281	2.2%	$734.94
5140 Insurance Reimbursements	$86,649	$91,375	$95,045	$8,396	9.7%	$5,280.26
5150 Percentage Rent	$166,711	$159,209	$167,912	$1,201	0.7%	$9,328.42
5160 Misc. Income	$168,452	$157,516	$167,426	-$1,026	-0.6%	$9,301.45
5170 Payroll - Management	$145,443	$145,182	$152,220	$6,776	4.7%	$8,456.64
5180 Payroll - Leasing	$155,457	$152,764	$159,390	$3,933	2.5%	$8,854.98
5190 Payroll - Maintenance	$77,900	$80,317	$83,221	$5,322	6.8%	$4,623.41
5200 Payroll Taxes & Benefits	$107,203	$114,058	$114,295	$7,092	6.6%	$6,349.74
5210 Repairs - Plumbing	$124,441	$133,043	$134,010	$9,569	7.7%	$7,444.97
5220 Repairs - HVAC	$156,919	$158,217	$159,407	$2,488	1.6%	$8,855.97
5230 Repairs - Electrical	$101,017	$95,360	$101,070	$53	0.1%	$5,615.02
5240 Repairs - Appliances	$34,397	$35,150	$37,569	$3,173	9.2%	$2,087.19

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5400 Advertising	$71,114	$72,845	$73,629	$2,515	3.5%	$4,090.51
5410 Resident Events	$116,923	$116,080	$122,686	$5,762	4.9%	$6,815.88
5420 Office Supplies	$13,266	$13,692	$13,802	$535	4.0%	$766.76
5430 Legal & Professional	$13,126	$14,162	$14,972	$1,847	14.1%	$831.80
5440 Accounting & Audit	$148,547	$152,776	$161,456	$12,909	8.7%	$8,969.79
5450 Licenses & Permits	$156,914	$165,935	$167,739	$10,825	6.9%	$9,318.83
5460 Management Fee	$131,136	$136,322	$138,040	$6,904	5.3%	$7,668.89
5470 Property Insurance	$36,682	$36,347	$37,936	$1,254	3.4%	$2,107.58
5480 Real Estate Taxes	$27,434	$28,893	$29,076	$1,643	6.0%	$1,615.35
5490 Asset Management Fee	$50,527	$54,370	$56,131	$5,604	11.1%	$3,118.39
5500 Replacement Reserves	$146,343	$134,941	$135,378	-$10,965	-7.5%	$7,520.99
5510 Roof Repairs	$184,344	$186,284	$197,643	$13,299	7.2%	$10,980.16
5520 Parking Lot Repairs	$125,487	$127,751	$132,457	$6,970	5.6%	$7,358.72
5530 Signage	$61,289	$63,172	$66,834	$5,545	9.0%	$3,713.02
5540 Tenant Improvements	$166,569	$164,439	$165,841	-$728	-0.4%	$9,213.38
5550 Leasing Commissions	$191,307	$191,272	$199,541	$8,233	4.3%	$11,085.59
5000 Gross Potential Rent	$51,177	$53,030	$53,367	$2,190	4.3%	$2,964.83
5010 Loss to Lease	$111,677	$116,307	$122,008	$10,331	9.3%	$6,778.22
5020 Vacancy Loss	$98,615	$92,947	$96,129	-$2,486	-2.5%	$5,340.48
5030 Concessions	$177,043	$176,851	$177,958	$915	0.5%	$9,886.58
5040 Bad Debt	$169,034	$159,832	$163,163	-$5,871	-3.5%	$9,064.64
5050 Late Fees	$141,535	$137,282	$145,139	$3,604	2.5%	$8,063.30
5060 Utility Reimbursements	$129,768	$126,706	$129,690	-$77	-0.1%	$7,205.03
5070 Parking Income	$194,513	$201,746	$213,908	$19,395	10.0%	$11,883.78
5080 Application Fees	$30,633	$28,809	$29,837	-$796	-2.6%	$1,657.59
5090 Pet Rent	$189,432	$198,739	$209,036	$19,604	10.3%	$11,613.09
5100 Laundry Income	$20,024	$19,793	$20,458	$434	2.2%	$1,136.55
5110 Cable/Internet Revenue	$179,768	$187,810	$192,604	$12,836	7.1%	$10,700.20
5120 CAM Reimbursements	$193,188	$193,334	$195,271	$2,084	1.1%	$10,848.42
5130 Tax Reimbursements	$182,461	$183,333	$194,959	$12,498	6.8%	$10,831.06
5140 Insurance Reimbursements	$14,603	$14,419	$14,589	-$14	-0.1%	$810.48
5150 Percentage Rent	$77,245	$73,382	$77,569	$324	0.4%	$4,309.37
5160 Misc. Income	$58,733	$58,566	$61,644	$2,911	5.0%	$3,424.65
5170 Payroll - Management	$70,765	$66,447	$69,178	-$1,587	-2.2%	$3,843.21
5180 Payroll - Leasing	$150,863	$150,750	$153,133	$2,270	1.5%	$8,507.38
5190 Payroll - Maintenance	$98,354	$98,964	$101,012	$2,658	2.7%	$5,611.79
5200 Payroll Taxes & Benefits	$132,329	$139,175	$140,710	$8,381	6.3%	$7,817.20
5210 Repairs - Plumbing	$131,636	$128,237	$131,800	$165	0.1%	$7,322.24
5220 Repairs - HVAC	$15,379	$15,791	$16,347	$968	6.3%	$908.17
5230 Repairs - Electrical	$133,464	$124,474	$130,051	-$3,413	-2.6%	$7,225.04

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Valuation Discussion

Operating expenses totaled $387,000 or approximately 34.31 per square foot, with real estate taxes representing the largest line item. Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 27 per 1,000 square feet, and a tenant lounge with fitness center. The going-in capitalization rate of 6.54% reflects the in-place income and the stabilized occupancy assumption.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Floor plates are efficient and column-spacing supports open and private-office layouts. Operating expenses totaled $217,000 or approximately 37.48 per square foot, with real estate taxes representing the largest line item. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The going-in capitalization rate of 8.09% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 38 additional team members. Service requests are tracked through a work-order system with an average completion time of 18 hours. The building features a renovated lobby, structured parking at a ratio of 2 per 1,000 square feet, and a tenant lounge with fitness center. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 90.3% of billed charges, with bad debt of 3.2% of gross potential income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Service requests are tracked through a work-order system with an average completion time of 46 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $291,000, representing a 7.6% increase over the prior year. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period.

Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 8 years and in-place rents average $40 per square foot, full service gross. Effective gross income for the trailing period was $70,000, representing a 13.7% increase over the prior year. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses.

Leasing and Marketing

Collections for the period were 89.2% of billed charges, with bad debt of 7.9% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members.

Service requests are tracked through a work-order system with an average completion time of 30 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 11th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Income and Expense Review

Weighted average lease term remaining is 10 years and in-place rents average $40 per square foot, full service gross. The going-in capitalization rate of 7.66% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. Floor plates are efficient and column-spacing supports open and private-office layouts.

Debt service coverage ratio was 5.59x on a trailing basis against a covenant minimum of 1.20x. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 11 years and in-place rents average $40 per square foot, full service gross. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5300 Janitorial	$38,661	$37,988	$38,220	-$440	-1.1%	$2,123.35
5310 Pest Control	$28,078	$27,666	$27,841	-$237	-0.8%	$1,546.72
5320 Trash Removal	$29,571	$29,197	$30,970	$1,400	4.7%	$1,720.58
5330 Elevator Contract	$96,993	$102,399	$108,583	$11,590	11.9%	$6,032.40
5340 Fire & Life Safety	$133,945	$139,731	$143,447	$9,502	7.1%	$7,969.28
5350 Security	$30,304	$28,213	$28,682	-$1,622	-5.4%	$1,593.43
5360 Electricity - Common	$126,482	$123,813	$130,533	$4,051	3.2%	$7,251.85
5370 Gas - Common	$170,048	$173,591	$182,058	$12,010	7.1%	$10,114.32
5380 Water & Sewer	$124,966	$130,873	$131,402	$6,435	5.1%	$7,300.09
5390 Telephone/Internet	$33,073	$30,740	$30,980	-$2,093	-6.3%	$1,721.09
5400 Advertising	$10,428	$11,161	$11,650	$1,221	11.7%	$647.20
5410 Resident Events	$140,373	$140,169	$143,103	$2,731	1.9%	$7,950.19
5420 Office Supplies	$117,368	$115,595	$121,042	$3,675	3.1%	$6,724.57
5430 Legal & Professional	$37,034	$39,094	$40,714	$3,680	9.9%	$2,261.87
5440 Accounting & Audit	$79,410	$82,295	$82,450	$3,040	3.8%	$4,580.56
5450 Licenses & Permits	$90,890	$92,885	$93,590	$2,700	3.0%	$5,199.42
5460 Management Fee	$187,491	$188,168	$199,449	$11,958	6.4%	$11,080.53
5470 Property Insurance	$44,787	$43,771	$44,897	$110	0.2%	$2,494.26
5480 Real Estate Taxes	$41,992	$43,559	$43,869	$1,877	4.5%	$2,437.17
5490 Asset Management Fee	$174,373	$164,166	$169,972	-$4,401	-2.5%	$9,442.89
5500 Replacement Reserves	$93,705	$89,533	$91,117	-$2,588	-2.8%	$5,062.04
5510 Roof Repairs	$115,778	$108,294	$110,847	-$4,931	-4.3%	$6,158.17
5520 Parking Lot Repairs	$14,171	$13,092	$13,097	-$1,074	-7.6%	$727.61
5530 Signage	$172,155	$182,543	$184,656	$12,501	7.3%	$10,258.64
5540 Tenant Improvements	$98,284	$99,372	$105,477	$7,192	7.3%	$5,859.81
5550 Leasing Commissions	$29,347	$29,680	$31,345	$1,998	6.8%	$1,741.37
5000 Gross Potential Rent	$195,901	$191,397	$198,769	$2,868	1.5%	$11,042.73
5010 Loss to Lease	$70,151	$70,610	$73,525	$3,374	4.8%	$4,084.71
5020 Vacancy Loss	$173,228	$171,819	$173,548	$320	0.2%	$9,641.55
5030 Concessions	$63,141	$59,740	$59,887	-$3,254	-5.2%	$3,327.04
5040 Bad Debt	$59,591	$61,745	$62,908	$3,317	5.6%	$3,494.90
5050 Late Fees	$64,833	$66,135	$67,017	$2,183	3.4%	$3,723.16
5060 Utility Reimbursements	$157,945	$146,057	$149,717	-$8,228	-5.2%	$8,317.61
5070 Parking Income	$104,999	$108,625	$111,186	$6,187	5.9%	$6,176.99
5080 Application Fees	$75,704	$80,984	$82,229	$6,525	8.6%	$4,568.26
5090 Pet Rent	$64,377	$61,111	$65,181	$803	1.2%	$3,621.15
5100 Laundry Income	$71,771	$72,300	$76,272	$4,501	6.3%	$4,237.31
5110 Cable/Internet Revenue	$70,043	$72,124	$76,717	$6,675	9.5%	$4,262.06
5120 CAM Reimbursements	$26,305	$27,958	$28,164	$1,858	7.1%	$1,564.65
5130 Tax Reimbursements	$98,666	$99,969	$104,482	$5,816	5.9%	$5,804.54
5140 Insurance Reimbursements	$115,976	$124,790	$125,571	$9,595	8.3%	$6,976.15
5150 Percentage Rent	$54,672	$58,961	$59,410	$4,737	8.7%	$3,300.53
5160 Misc. Income	$161,751	$172,641	$180,533	$18,781	11.6%	$10,029.60

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Financial Analysis

Effective gross income for the trailing period was $119,000, representing a 6.6% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.63x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.25% reflects the in-place income and the stabilized occupancy assumption. Floor plates are efficient and column-spacing supports open and private-office layouts.

Property Operations

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members. Collections for the period were 90.1% of billed charges, with bad debt of 7.1% of gross potential income. The building features a renovated lobby, structured parking at a ratio of 4 per 1,000 square feet, and a tenant lounge with fitness center.

The building features a renovated lobby, structured parking at a ratio of 35 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The manager completes a monthly walk of the property and submits a variance report to the owner by the 11th business day. Weighted average lease term remaining is 7 years and in-place rents average $40 per square foot, full service gross.

Operating Performance

Floor plates are efficient and column-spacing supports open and private-office layouts. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building features a renovated lobby, structured parking at a ratio of 42 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Weighted average lease term remaining is 5 years and in-place rents average $40 per square foot, full service gross. Effective gross income for the trailing period was $324,000, representing a 5.5% increase over the prior year. The building features a renovated lobby, structured parking at a ratio of 7 per 1,000 square feet, and a tenant lounge with fitness center.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 40th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 20 hours. The building features a renovated lobby, structured parking at a ratio of 10 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 23th business day. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. Service requests are tracked through a work-order system with an average completion time of 29 hours. Floor plates are efficient and column-spacing supports open and private-office layouts.

Financial Analysis

Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.27% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.39x on a trailing basis against a covenant minimum of 1.20x.

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5170 Payroll - Management	$78,271	$78,636	$79,917	$1,645	2.1%	$4,439.83
5180 Payroll - Leasing	$59,044	$61,481	$65,483	$6,438	10.9%	$3,637.93
5190 Payroll - Maintenance	$38,897	$40,786	$43,252	$4,354	11.2%	$2,402.87
5200 Payroll Taxes & Benefits	$101,271	$107,986	$109,683	$8,412	8.3%	$6,093.51
5210 Repairs - Plumbing	$129,120	$122,945	$129,030	-$90	-0.1%	$7,168.33
5220 Repairs - HVAC	$173,541	$170,333	$176,975	$3,434	2.0%	$9,831.95
5230 Repairs - Electrical	$20,235	$21,244	$21,807	$1,573	7.8%	$1,211.52
5240 Repairs - Appliances	$38,011	$40,491	$42,689	$4,679	12.3%	$2,371.62
5250 Painting & Decorating	$32,063	$30,305	$31,132	-$931	-2.9%	$1,729.55
5260 Flooring	$67,576	$68,271	$72,908	$5,332	7.9%	$4,050.46
5270 Make-Ready / Turnover	$142,495	$131,487	$136,302	-$6,193	-4.3%	$7,572.32
5280 Landscaping Contract	$9,013	$8,859	$9,373	$360	4.0%	$520.73
5290 Snow Removal	$54,913	$58,692	$59,688	$4,775	8.7%	$3,316.02
5300 Janitorial	$62,071	$61,929	$65,670	$3,600	5.8%	$3,648.34
5310 Pest Control	$105,078	$99,334	$101,358	-$3,721	-3.5%	$5,630.98
5320 Trash Removal	$141,994	$141,283	$142,879	$886	0.6%	$7,937.75
5330 Elevator Contract	$100,988	$104,486	$109,784	$8,796	8.7%	$6,099.12
5340 Fire & Life Safety	$84,872	$84,448	$87,177	$2,305	2.7%	$4,843.15
5350 Security	$36,361	$34,388	$35,476	-$884	-2.4%	$1,970.92
5360 Electricity - Common	$122,171	$113,177	$113,193	-$8,978	-7.3%	$6,288.50
5370 Gas - Common	$51,567	$48,198	$49,305	-$2,262	-4.4%	$2,739.15
5380 Water & Sewer	$60,253	$57,312	$58,623	-$1,631	-2.7%	$3,256.83
5390 Telephone/Internet	$93,532	$88,452	$89,018	-$4,514	-4.8%	$4,945.44
5400 Advertising	$35,855	$34,437	$35,578	-$277	-0.8%	$1,976.57
5410 Resident Events	$86,298	$83,772	$87,223	$926	1.1%	$4,845.74
5420 Office Supplies	$170,934	$158,076	$163,238	-$7,696	-4.5%	$9,068.78
5430 Legal & Professional	$26,269	$25,672	$26,326	$57	0.2%	$1,462.57
5440 Accounting & Audit	$154,495	$152,656	$154,233	-$262	-0.2%	$8,568.47
5450 Licenses & Permits	$190,727	$185,081	$193,542	$2,815	1.5%	$10,752.33
5460 Management Fee	$93,714	$97,118	$100,510	$6,795	7.3%	$5,583.87
5470 Property Insurance	$33,035	$31,260	$32,838	-$197	-0.6%	$1,824.34
5480 Real Estate Taxes	$115,563	$116,417	$116,791	$1,228	1.1%	$6,488.39
5490 Asset Management Fee	$77,403	$81,809	$82,136	$4,733	6.1%	$4,563.13
5500 Replacement Reserves	$11,897	$11,384	$12,061	$165	1.4%	$670.08
5510 Roof Repairs	$17,276	$16,132	$16,347	-$930	-5.4%	$908.14
5520 Parking Lot Repairs	$158,153	$169,318	$169,678	$11,525	7.3%	$9,426.53
5530 Signage	$27,704	$29,246	$30,331	$2,627	9.5%	$1,685.08
5540 Tenant Improvements	$18,807	$17,673	$17,969	-$838	-4.5%	$998.27
5550 Leasing Commissions	$97,965	$95,334	$101,538	$3,573	3.6%	$5,641.02
5000 Gross Potential Rent	$63,094	$59,601	$61,088	-$2,006	-3.2%	$3,393.77
5010 Loss to Lease	$65,037	$68,106	$70,015	$4,978	7.7%	$3,889.74
5020 Vacancy Loss	$158,931	$155,401	$156,056	-$2,875	-1.8%	$8,669.76
5030 Concessions	$50,884	$50,141	$53,479	$2,595	5.1%	$2,971.05

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Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. Weighted average lease term remaining is 10 years and in-place rents average $40 per square foot, full service gross. The going-in capitalization rate of 5.10% reflects the in-place income and the stabilized occupancy assumption.

Floor plates are efficient and column-spacing supports open and private-office layouts. Debt service coverage ratio was 6.15x on a trailing basis against a covenant minimum of 1.20x. The building features a renovated lobby, structured parking at a ratio of 7 per 1,000 square feet, and a tenant lounge with fitness center. Operating expenses totaled $117,000 or approximately 9.37 per square foot, with real estate taxes representing the largest line item.

Leasing and Marketing

Floor plates are efficient and column-spacing supports open and private-office layouts. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Weighted average lease term remaining is 6 years and in-place rents average $40 per square foot, full service gross.

Floor plates are efficient and column-spacing supports open and private-office layouts. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 33 hours.

Valuation Discussion

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.84x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $246,000, representing a 12.4% increase over the prior year.

Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 6 years and in-place rents average $40 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 12 per 1,000 square feet, and a tenant lounge with fitness center. Effective gross income for the trailing period was $239,000, representing a 10.6% increase over the prior year. Operating expenses totaled $392,000 or approximately 29.97 per square foot, with real estate taxes representing the largest line item.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building features a renovated lobby, structured parking at a ratio of 16 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 7 years and in-place rents average $40 per square foot, full service gross. Collections for the period were 92.3% of billed charges, with bad debt of 3.8% of gross potential income.

Service requests are tracked through a work-order system with an average completion time of 2 hours. The building features a renovated lobby, structured parking at a ratio of 19 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members.

Valuation Discussion

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $232,000, representing a 12.4% increase over the prior year. Weighted average lease term remaining is 7 years and in-place rents average $40 per square foot, full service gross.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$153,269	$146,914	$152,134	-$1,135	-0.7%	$8,451.88
5010 Loss to Lease	$162,156	$157,319	$163,354	$1,198	0.7%	$9,075.20
5020 Vacancy Loss	$60,399	$63,243	$64,059	$3,660	6.1%	$3,558.83
5030 Concessions	$123,863	$118,793	$125,445	$1,582	1.3%	$6,969.14
5040 Bad Debt	$113,043	$113,772	$114,643	$1,599	1.4%	$6,369.03
5050 Late Fees	$155,015	$145,340	$154,584	-$431	-0.3%	$8,588.01
5060 Utility Reimbursements	$52,647	$50,607	$53,915	$1,268	2.4%	$2,995.28
5070 Parking Income	$10,452	$10,584	$11,325	$873	8.4%	$629.17
5080 Application Fees	$162,176	$149,880	$158,967	-$3,209	-2.0%	$8,831.52
5090 Pet Rent	$18,058	$19,237	$20,424	$2,366	13.1%	$1,134.64
5100 Laundry Income	$186,745	$188,926	$193,444	$6,699	3.6%	$10,746.91
5110 Cable/Internet Revenue	$80,061	$76,344	$78,911	-$1,150	-1.4%	$4,383.97
5120 CAM Reimbursements	$34,327	$36,989	$38,432	$4,105	12.0%	$2,135.11
5130 Tax Reimbursements	$9,929	$10,492	$10,586	$657	6.6%	$588.13
5140 Insurance Reimbursements	$82,541	$84,024	$86,692	$4,151	5.0%	$4,816.22
5150 Percentage Rent	$26,775	$26,667	$27,720	$945	3.5%	$1,540.01
5160 Misc. Income	$102,623	$95,794	$97,447	-$5,176	-5.0%	$5,413.75
5170 Payroll - Management	$169,290	$171,389	$179,935	$10,645	6.3%	$9,996.37
5180 Payroll - Leasing	$82,442	$85,919	$90,913	$8,471	10.3%	$5,050.70
5190 Payroll - Maintenance	$59,049	$63,663	$67,549	$8,500	14.4%	$3,752.74
5200 Payroll Taxes & Benefits	$32,947	$31,183	$33,099	$152	0.5%	$1,838.84
5210 Repairs - Plumbing	$192,680	$182,682	$190,737	-$1,943	-1.0%	$10,596.50
5220 Repairs - HVAC	$18,956	$19,034	$19,615	$659	3.5%	$1,089.72
5230 Repairs - Electrical	$101,538	$103,662	$109,268	$7,730	7.6%	$6,070.45
5240 Repairs - Appliances	$96,401	$89,562	$93,813	-$2,588	-2.7%	$5,211.82
5250 Painting & Decorating	$132,643	$126,855	$130,146	-$2,498	-1.9%	$7,230.33
5260 Flooring	$168,512	$174,940	$182,787	$14,275	8.5%	$10,154.85
5270 Make-Ready / Turnover	$135,389	$134,715	$140,589	$5,200	3.8%	$7,810.49
5280 Landscaping Contract	$128,209	$127,303	$135,973	$7,764	6.1%	$7,554.05
5290 Snow Removal	$89,374	$86,578	$86,898	-$2,476	-2.8%	$4,827.66
5300 Janitorial	$133,150	$133,836	$140,914	$7,765	5.8%	$7,828.58
5310 Pest Control	$156,573	$158,801	$168,153	$11,580	7.4%	$9,341.84
5320 Trash Removal	$18,799	$18,561	$19,382	$583	3.1%	$1,076.80
5330 Elevator Contract	$46,141	$45,888	$47,561	$1,419	3.1%	$2,642.26
5340 Fire & Life Safety	$192,046	$186,727	$197,331	$5,286	2.8%	$10,962.84
5350 Security	$125,279	$133,903	$136,808	$11,528	9.2%	$7,600.42
5360 Electricity - Common	$108,230	$101,151	$106,977	-$1,253	-1.2%	$5,943.17
5370 Gas - Common	$69,558	$68,846	$73,663	$4,105	5.9%	$4,092.40
5380 Water & Sewer	$186,764	$176,250	$187,343	$579	0.3%	$10,407.92
5390 Telephone/Internet	$138,643	$135,046	$138,934	$291	0.2%	$7,718.56
5400 Advertising	$51,809	$48,183	$49,754	-$2,055	-4.0%	$2,764.11
5410 Resident Events	$21,814	$23,284	$24,266	$2,452	11.2%	$1,348.09

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Income and Expense Review

The going-in capitalization rate of 6.68% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $200,000, representing a 4.4% increase over the prior year. Weighted average lease term remaining is 7 years and in-place rents average $40 per square foot, full service gross.

Effective gross income for the trailing period was $50,000, representing a 10.6% increase over the prior year. Operating expenses totaled $428,000 or approximately 30.14 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.54x on a trailing basis against a covenant minimum of 1.20x. The building features a renovated lobby, structured parking at a ratio of 15 per 1,000 square feet, and a tenant lounge with fitness center. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period.

Management Commentary

Weighted average lease term remaining is 10 years and in-place rents average $40 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 2 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Service requests are tracked through a work-order system with an average completion time of 22 hours.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Collections for the period were 96.1% of billed charges, with bad debt of 7.6% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Weighted average lease term remaining is 9 years and in-place rents average $40 per square foot, full service gross.

Valuation Discussion

The going-in capitalization rate of 7.00% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building features a renovated lobby, structured parking at a ratio of 31 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Operating expenses totaled $407,000 or approximately 14.84 per square foot, with real estate taxes representing the largest line item.

Operating expenses totaled $216,000 or approximately 14.92 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 10 years and in-place rents average $40 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.95x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $51,000, representing a 3.3% increase over the prior year.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 30 additional team members. The building features a renovated lobby, structured parking at a ratio of 22 per 1,000 square feet, and a tenant lounge with fitness center. Collections for the period were 95.1% of billed charges, with bad debt of 7.3% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Weighted average lease term remaining is 5 years and in-place rents average $40 per square foot, full service gross.

Floor plates are efficient and column-spacing supports open and private-office layouts. The manager completes a monthly walk of the property and submits a variance report to the owner by the 38th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 46 hours. Weighted average lease term remaining is 10 years and in-place rents average $40 per square foot, full service gross.

Income and Expense Review

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5370 Gas - Common	$172,673	$160,018	$164,214	-$8,459	-4.9%	$9,122.98
5380 Water & Sewer	$83,493	$87,999	$88,755	$5,262	6.3%	$4,930.85
5390 Telephone/Internet	$180,579	$178,993	$179,365	-$1,214	-0.7%	$9,964.74
5400 Advertising	$163,283	$165,810	$167,924	$4,641	2.8%	$9,329.12
5410 Resident Events	$169,311	$157,941	$159,036	-$10,276	-6.1%	$8,835.31
5420 Office Supplies	$26,568	$25,637	$27,362	$794	3.0%	$1,520.12
5430 Legal & Professional	$18,959	$18,770	$19,343	$384	2.0%	$1,074.60
5440 Accounting & Audit	$106,969	$101,678	$103,265	-$3,704	-3.5%	$5,736.97
5450 Licenses & Permits	$71,864	$67,612	$68,759	-$3,105	-4.3%	$3,819.97
5460 Management Fee	$101,526	$109,280	$116,486	$14,960	14.7%	$6,471.43
5470 Property Insurance	$173,361	$164,354	$171,522	-$1,839	-1.1%	$9,528.98
5480 Real Estate Taxes	$27,751	$29,821	$30,422	$2,671	9.6%	$1,690.11
5490 Asset Management Fee	$56,059	$57,395	$59,683	$3,624	6.5%	$3,315.71
5500 Replacement Reserves	$85,782	$88,841	$92,651	$6,869	8.0%	$5,147.28
5510 Roof Repairs	$70,375	$71,913	$73,521	$3,145	4.5%	$4,084.48
5520 Parking Lot Repairs	$25,362	$25,373	$25,592	$230	0.9%	$1,421.78
5530 Signage	$21,783	$21,315	$22,257	$474	2.2%	$1,236.49
5540 Tenant Improvements	$171,199	$163,971	$170,023	-$1,176	-0.7%	$9,445.72
5550 Leasing Commissions	$18,580	$17,877	$19,013	$434	2.3%	$1,056.30
5000 Gross Potential Rent	$99,792	$105,980	$106,883	$7,091	7.1%	$5,937.93
5010 Loss to Lease	$30,720	$28,420	$29,736	-$983	-3.2%	$1,652.02
5020 Vacancy Loss	$115,485	$111,128	$116,323	$837	0.7%	$6,462.37
5030 Concessions	$58,247	$58,707	$59,454	$1,207	2.1%	$3,303.02
5040 Bad Debt	$191,001	$182,799	$193,041	$2,040	1.1%	$10,724.48
5050 Late Fees	$105,704	$112,323	$120,009	$14,305	13.5%	$6,667.14
5060 Utility Reimbursements	$62,778	$65,337	$68,316	$5,538	8.8%	$3,795.32
5070 Parking Income	$124,998	$126,313	$129,645	$4,647	3.7%	$7,202.51
5080 Application Fees	$77,547	$79,148	$80,212	$2,665	3.4%	$4,456.24
5090 Pet Rent	$44,682	$48,217	$49,078	$4,396	9.8%	$2,726.57
5100 Laundry Income	$96,983	$100,523	$100,567	$3,585	3.7%	$5,587.07
5110 Cable/Internet Revenue	$122,759	$131,870	$139,067	$16,307	13.3%	$7,725.92
5120 CAM Reimbursements	$129,662	$130,281	$134,600	$4,938	3.8%	$7,477.76
5130 Tax Reimbursements	$22,219	$21,282	$21,859	-$360	-1.6%	$1,214.41
5140 Insurance Reimbursements	$158,483	$146,436	$146,919	-$11,563	-7.3%	$8,162.19
5150 Percentage Rent	$177,427	$179,226	$184,875	$7,448	4.2%	$10,270.83
5160 Misc. Income	$189,254	$197,137	$201,076	$11,822	6.2%	$11,170.89
5170 Payroll - Management	$13,190	$12,230	$12,704	-$486	-3.7%	$705.79
5180 Payroll - Leasing	$148,300	$158,016	$164,526	$16,226	10.9%	$9,140.34
5190 Payroll - Maintenance	$128,245	$130,675	$137,121	$8,876	6.9%	$7,617.81
5200 Payroll Taxes & Benefits	$50,921	$53,077	$55,956	$5,035	9.9%	$3,108.67
5210 Repairs - Plumbing	$189,468	$187,322	$193,406	$3,939	2.1%	$10,744.80

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Summary and Notes

Valuation Discussion

Operating expenses totaled $45,000 or approximately 41.88 per square foot, with real estate taxes representing the largest line item. Floor plates are efficient and column-spacing supports open and private-office layouts. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.82% reflects the in-place income and the stabilized occupancy assumption.

Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Operating expenses totaled $411,000 or approximately 29.96 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.33% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. Weighted average lease term remaining is 10 years and in-place rents average $40 per square foot, full service gross.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 20 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 14 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 25th business day. Weighted average lease term remaining is 9 years and in-place rents average $40 per square foot, full service gross.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 88.5% of billed charges, with bad debt of 4.8% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day. Service requests are tracked through a work-order system with an average completion time of 44 hours.

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